
WHITE PAPER · PORTFOLIO & DELIVERY GOVERNANCE

Why the Kill Gate Doesn't Fire

Let someone who did not approve the program decide

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EXECUTIVE SUMMARY

At approval, write down what the program must have delivered by a set date; if it misses, someone who had no part in approving it decides whether it continues.

A committee can have the power to stop a failing program and still fund one more quarter. The sponsor and committee both approved the original case. For a commitment large enough that a wrong continuation matters, give the continue-or-stop decision to someone who had no part in approving the program or its funding rounds whenever the program misses the minimum result it was approved against.

- 01** In studies of escalation, people who own a losing choice often put more money into it, and in one review the effect was stronger when more than one person had a say in the next decision.
- 02** At approval, record the smallest result and due date that keep the original case intact. The minimum is the point below which that case no longer holds; it is not the forecast.
- 03** Judge sponsors on the quality of the case and how early they report a miss, not only on the final result.
- 04** After a miss, the sponsor recommends. A reviewer with no prior approval decides and can still continue the program.

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The committee had the power to stop

A finance-system program is eighteen months into a three-year plan. Two of six business units have moved. Each move cost more than expected. The next funding request covers the largest unit.

The committee can continue, narrow, pause, or stop the work. The sponsor asks for one more quarter. A new partner, the sponsor says, will lower the migration cost. The largest unit has clean data. The committee asks for a new schedule and releases the funding. A quarter later, the same request returns with a larger number.

This is a composite, but the choice is common. The committee had the power to stop and did not use it. The usual answer is a tougher gate: clearer rules, harder questions, or more forceful members.

That answer has support. Robert Cooper and Scott Edgett write that many projects move too far into development without serious review. Once work begins, they say, it is rarely killed. They call for firm Go/Kill decisions.[1] But the committee in this example already had that authority.

The useful question is who must use the gate's power after the program falls short.

The people deciding approved the work

Studies of failing projects show why a strong gate can still keep funding the same plan. Mark Keil, Joan Mann, and Arun Rai studied people who audit and control information-system projects. They found some escalation in 30 to 40 percent of the projects they studied. Those projects had worse reported results for delivery and cost. The pull to finish grew as a project moved closer to completion.[2]

Barry Staw tested a related problem in a simulated business investment. Participants who were personally responsible for a bad result put the most additional money into the choice they had made.[3] A later review of more than 35 years of escalation research reached the same broad finding. Personal responsibility, money already spent, and proximity to the end all related to further commitment.[4]

The review also looked at shared authority. In four samples, the responsibility effect was stronger when more than one person had a say in the next decision. That does not prove that every committee will continue a failing program. It does show why

adding another review by the people who approved the first case may not solve the problem.

The sponsor has to argue that the work should continue. The committee has to decide whether its earlier approval was wrong. Both may be acting in good faith. Both still have a reason to read a missed target as a delay, a one-off problem, or a reason for one more quarter.

A change in people can change the decision

The laboratory work matters, but real organizations have money, careers, and oversight. Staw, Sigal Barsade, and Kenneth Koput studied 132 California banks over nine years. Changes in senior leadership predicted later loan-loss provisions and write-offs. The study did not find that the provisions and write-offs predicted executive turnover.[5]

One field study in one industry and state cannot show that replacing leaders fixes a troubled program. It supports a narrower point: a person who made the commitment may be poorly placed to recognize that the commitment has failed.

Troubled software projects offer a related clue. Keil and Daniel Robey interviewed 42 information-system auditors about projects that moved away from a failing course. In most cases, senior managers, internal auditors, or outside consultants triggered the change.[6] The study does not say which senior managers approved the work. It does show that the sponsor is not the only possible source of a stop decision.

The goal is not to remove the sponsor from the review. The sponsor knows the work best. The goal is to separate the recommendation from the final continue-or-stop decision after a program misses a limit that everyone accepted in advance.

Set the stop before the result arrives

At approval, record the smallest result that must hold by a named date for the work to continue on its current terms. Use a measure the program already reports: business units migrated, cost per migration, service level, or unit cost at pilot volume.

This is the minimum, not the forecast. The forecast is what the sponsor expects. The minimum is the point below which the original case no longer holds. A program can miss its forecast and still clear its minimum. A program that misses the minimum needs a new decision.

Set the minimum before results arrive. Simonson and Staw found that pre-set targets, evaluation of the decision process, and making bad news less threatening reduced commitment to a losing course in a laboratory study.[7] A written minimum makes it harder to move the line after a miss.

Set the first minimum early as well. If the pull to finish grows near the end of a project, an early test gives the organization a chance to act before the work feels too close to completion to stop.

Judge the case, not only the result

Tell the sponsor at approval how the review will judge the work. Ask whether the original case was reasonable with the facts available at the time. Ask whether the minimum honestly marked the point where the case fails. Ask how quickly the sponsor raised a miss.

In Simonson and Staw's experiment, judging people on the result of their original decision did not reduce further commitment. Judging the decision process did.[7] That does not make a bad result unimportant. Results still show what happened. A sponsor who can report a miss without turning it into a personal failure is more likely to bring the bad news forward.

After a stop, record two things separately: whether the original case was sound at approval and whether the result cleared the minimum. A sound case can meet a bad event. A weak case can get lucky. Both lessons matter, and neither is clear when the review treats the final result as the only score.

Let the sponsor recommend and another person decide

When the program misses its minimum, split the job. The sponsor prepares the evidence and recommends continue, narrow, pause, or stop. A reviewer with no part in the original approval or later funding rounds makes the decision.

EXHIBIT 1

Set the stop at approval, then let the result route the decision**01****At approval**

Record the minimum and its date, how the sponsor is judged, and a reviewer with no prior approval.

02**Results arrive**

The EPMO checks the reported result against the recorded minimum on the stated date.

03**Minimum cleared**

The work continues on its existing terms and the approving committee keeps the decision.

04**Minimum missed**

The sponsor recommends continue, narrow, pause, or stop; the named reviewer decides.

For most programs, that reviewer can be a portfolio leader from outside the sponsoring business. For a large or hard-to-reverse commitment, it may be internal audit or an outside reviewer. The EPMO keeps the minimum, due date, and reviewer on the record. It calls the review when the result falls short. The trigger should not depend on the sponsor volunteering bad news.

The earlier committee stays informed. It can record its view and ratify the outcome where the rules require it. It does not make the continue-or-stop choice at the missed minimum. That is the change that matters.

The reviewer can still continue the work. Some troubled projects recover after a real change in the case. The reviewer should decline only an extension based on the same case that already failed its own test.

Use this control where the cost justifies it

Independent review has a cost. The reviewer knows less than the sponsor. A small, reversible project may not justify another decision step. Use the split for commitments large enough that a wrong continuation would matter.

EXHIBIT 2

The evidence locates the failure; it does not certify the design

-  **Method founders**
Stage-Gate's founders prescribe tough Go/Kill gates because begun projects are rarely killed.
-  **IS project survey**
Some escalation in 30 to 40 percent of projects, with significantly worse perceived outcomes.
-  **Experiments and synthesis**
Personal responsibility for the initial decision increases further commitment.
-  **Field studies**
Write-offs followed executive turnover; managers, auditors, or consultants triggered de-escalation.
-  **Not established**
No study tests this gate design as a whole or shows it works the same way everywhere.

The approving committee should also test the minimum. A minimum that no reasonable result could miss simply promises to continue. Reviewers need a fair standard too. A reviewer rewarded only for stopping work may become as biased as a sponsor who wants to continue it. Judge both people on the reasoning they put on the record.

The evidence has limits. The technique comparison came from one laboratory experiment. The shared-authority finding used four samples. The bank study is a field correlation in one state and industry. No study has tested this full gate design as a single method. This paper offers an operating design drawn from those findings, not a proven guarantee.

What to do next

At the next funding approval, choose one commitment large enough to matter. Record the minimum result and date, how the sponsor will be judged, and who decides if the minimum is missed.

When the sponsor next asks for one more quarter, start with the recorded minimum. If the program cleared it, the work continues on its current terms. If it did not, the sponsor makes the case and someone who did not approve the funding decides. No one making that decision has to reverse their own earlier judgment.

Notes and sources

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